1. The following transactions were completed by Montrose Company during May of the current year.

Instructions

i. Journalize the preceding transactions assuming that:

a) Montrose Company uses a periodic inventory system.
ANSWER.

Periodic Inventory System

In a periodic system: purchases are recorded in a Purchases account, and COGS is not recorded until the end of the period. Inventory is not updated with each sale or purchase**.**

May 3: Purchased merchandise on account from Floyd Co., $4,000, terms FOB shipping point, 2/10, n/30, with prepaid freight of $120 added to the invoice.

.

Invoice amount: $4,000

Freight: $120 (FOB shipping point means buyer pays freight, added to invoice)

Total: $4,120

Journal Entry:

Purchases	4,000	
Freight-In	120	
Accounts Payable		4,120

May 5: Purchased merchandise on account from Kramer Co., $8,500, terms FOB destination, 1/10, n/30.

- **Invoice amount: $8,500**
- **FOB destination: Seller pays freight, so no freight cost for Montrose.**

Journal Entry:

Purchases	8,500	
Accounts Payable		8,500

May 6: Sold merchandise on account to C. F. Howell Co., list price $4,000, trade discount 30%, terms 2/10, n/30. Cost of merchandise sold was $1,125.

- **List price: $4,000**
- **Trade discount: 30% × $4,000 = $1,200**
- **Sales price: $4,000 - $1,200 = $2,800**
- **No entry for cost of goods sold in periodic system (calculated at period-end).**

Journal Entry:

```
Accounts Receivable          2,800
     Sales Revenue                    2,800
```

May 8: Purchased office supplies for cash, $150.

- **Office supplies are not inventory, so this affects Supplies, not Purchases.**

Journal Entry:

```
Supplies                       150
     Cash                             150
```

May 10: Returned merchandise purchased on May 5 from Kramer Co., $1,300.

- **Reduces the Purchases account and Accounts Payable.**

Journal Entry:

```
Accounts Payable             1,300
     Purchase Returns                 1,300
```

May 13: Paid Floyd Co. on account for purchase of May 3, less discount.

- **Invoice amount: $4,120 (including $120 freight)**
- **Terms: 2/10, n/30 → 2% discount on $4,000 (freight not discounted) = $80**
- **Amount paid: $4,120 - $80 = $4,040**

Journal Entry:

```
Accounts Payable             4,120
     Cash                             4,040
     Purchase Discounts                 80
```

May 14: Purchased merchandise for cash, $10,500. Journal Entry:

```
Purchases                   10,500
     Cash                           10,500
```

May 15: Paid Kramer Co. on account for purchase of May 5, less return of May 10 and discount.

- **Original purchase: $8,500**
- **Return: $1,300**
- **Net amount owed: $8,500 - $1,300 = $7,200**
- **Terms: 1/10, n/30 → 1% discount on $7,200 = $72**
- **Amount paid: $7,200 - $72 = $7,128**

Journal Entry:

```
Accounts Payable             7,200
     Cash                             7,128
     Purchase Discounts                 72
```

May 16: Received cash on account from sale of May 6 to C. F. Howell Co., less discount.

- **Sale amount: $2,800**
- **Terms: 2/10, n/30 → 2% discount = $2,800 × 2% = $56**
- **Cash received: $2,800 - $56 = $2,744**

Journal Entry:

```
Cash                          2,744
Sales Discounts                  56
     Accounts Receivable            2,800
```

May 19: Sold merchandise for cash, $2,450. Cost of merchandise sold was $980.

- **No entry for cost of goods sold in periodic system.**

Journal Entry:

```
Cash                          2,450
     Sales Revenue                  2,450
```

May 22: Sold merchandise on account to Comer Co., $3,480, terms 2/10, n/30. Cost of merchandise sold was $1,400.

- **No entry for cost of goods sold.**

Journal Entry:

```
Accounts Receivable           3,480
     Sales Revenue                  3,480
```

May 24: Sold merchandise for cash, $4,350. Cost of merchandise sold was $1,750.

- **No entry for cost of goods sold.**

Journal Entry:

```
Cash                          4,350
     Sales Revenue                  4,350
```

May 25: Received merchandise returned by Comer Co. from sale on May 22, $1,480. Cost of returned merchandise was $600.

- **Reduces Accounts Receivable and records Sales Returns.**
- **No entry for cost of returned merchandise in periodic system.**

Journal Entry:

```
Sales Returns and Allowances   1,480
     Accounts Receivable            1,480
```

b) Perpetual Inventory System

In a perpetual system, Inventory and COGS are updated with each purchase and sale.

May 3: Purchased merchandise on account from Floyd Co., $4,000, terms FOB shipping point, 2/10, n/30, with prepaid freight of $120. Journal Entry:

```
Inventory                    4,120
     Accounts Payable                4,120
```

May 5: Purchased merchandise on account from Kramer Co., $8,500, terms FOB destination, 1/10, n/30. Journal Entry:

```
Inventory                    8,500
     Accounts Payable                8,500
```

May 6: Sold merchandise on account to C. F. Howell Co., list price $4,000, trade discount 30%, terms 2/10, n/30. Cost of merchandise sold was $1,125.

- **Sales price: $2,800**
- **Record COGS and reduce Inventory.**

Journal Entry:

```
Accounts Receivable          2,800
     Sales Revenue                 2,800
Cost of Goods Sold           1,125
     Inventory                     1,125
```

May 8: Purchased office supplies for cash, $150. Journal Entry:

```
Supplies                       150
     Cash                              150
```

May 10: Returned merchandise purchased on May 5 from Kramer Co., $1,300.
Journal Entry:

```
Accounts Payable             1,300
     Inventory                     1,300
```

May 13: Paid Floyd Co. on account for purchase of May 3, less discount.

- **Amount owed: $4,120**
- **Discount: 2% on $4,000 = $80**
- **Cash paid: $4,120 - $80 = $4,040**

Journal Entry:

```
Accounts Payable             4,120
     Cash                            4,040
     Inventory                         80
```

May 14: Purchased merchandise for cash, $10,500. Journal Entry:

```
Inventory                   10,500
     Cash                           10,500
```

May 15: Paid Kramer Co. on account for purchase of May 5, less return of May 10 and discount.

- **Net amount owed: $7,200**
- **Discount: 1% × $7,200 = $72**
- **Cash paid: $7,200 - $72 = $7,128**

Journal Entry:

```
Accounts Payable              7,200
     Cash                                7,128
     Inventory                             72
```

May 16: Received cash on account from sale of May 6 to C. F. Howell Co., less discount.

- **Cash received: $2,744**
- **Discount: $56**

Journal Entry:

```
Cash                          2,744
Sales Discounts                  56
     Accounts Receivable                2,800
```

May 19: Sold merchandise for cash, $2,450. Cost of merchandise sold was $980. Journal Entry:

```
Cash                          2,450
     Sales Revenue                      2,450
Cost of Goods Sold              980
     Inventory                             980
```

May 22: Sold merchandise on account to Comer Co., $3,480, terms 2/10, n/30. Cost of merchandise sold was $1,400. Journal Entry:

```
Accounts Receivable           3,480
     Sales Revenue                      3,480
Cost of Goods Sold            1,400
     Inventory                          1,400
```

May 24: Sold merchandise for cash, $4,350. Cost of merchandise sold was $1,750.
Journal Entry:

```
Cash                          4,350
     Sales Revenue                      4,350
Cost of Goods Sold            1,750
     Inventory                          1,750
```

May 25: Received merchandise returned by Comer Co. from sale on May 22, $1,480. Cost of returned merchandise was $600.

- **Return reduces Accounts Receivable and restores Inventory.**

Journal Entry:

```
Sales Returns and Allowances   1,480
     Accounts Receivable                1,480
Inventory                        600
```

```
Cost of Goods Sold              600
```

b) Montrose Company uses a perpetual inventory system.

ii. Journalize the adjusting entry for merchandise inventory shrinkage, $3,750.

Adjusting Entry for Merchandise Inventory Shrinkage, $3,750

Periodic Inventory System:

- **Shrinkage is recorded by adjusting the Inventory account and recognizing a loss, typically included in COGS at period-end.**

Journal Entry:

```
Cost of Goods Sold            3,750
     Inventory                      3,750
```

Perpetual Inventory System:

- **Shrinkage directly reduces the Inventory account and increases COGS.**

Journal Entry:

```
Cost of Goods Sold            3,750
     Inventory                      3,750
```

2 The cash in bank account for DX Co. on May 31 of the current year indicated a balance of $13,215.80 after both the cash receipts journal and the check register for May had been posted. The bank statement indicated a balance of $19,513.90 on May 31. Comparison of the bank statement and the accompanying cancelled checks and memorandums with the records revealed the following reconciling items.

A. Checks outstanding totaled $7,070.10.
B. A deposit of $3,915.20, representing receipts of May 31, had been made too late to appear on the bank statement.
C. The bank had collected $3,120 on an interest bearing note left for collection. The face of the note was $3,000.
D. A check for $69 returned with the statement had been recorded erroneously in the check register as $96. The check was for payment of an obligation to YX Co. for the purchase of supplies on account.
E. A check drawn for $42 had been erroneously charged by the bank as $24.
F. Bank service charges for May amounted to $21.80.

Instructions:

i. Prepare bank reconciliation.

Bank Reconciliation

A bank reconciliation adjusts the cash balance per the company's books and the bank statement to arrive at the true cash balance. We start with the given balances:

- Cash balance per books: $13,215.80
- Cash balance per bank statement: $19,513.90

We'll reconcile both balances to the adjusted cash balance by accounting for the reconciling items:

- A. Outstanding checks: $7,070.10 (checks issued but not yet cleared by the bank).
- B. Deposit in transit: $3,915.20 (deposit made but not yet recorded by the bank).
- C. Note collected by bank: $3,120 (includes $3,000 face value + $120 interest).
- D. Error in recording check: Check recorded as $96 but actual amount was $69 (difference: $96 - $69 = $27).
- E. Bank error: Check for $42 charged as $24 (difference: $42 - $24 = $18).
- F. Bank service charges: $21.80.

Bank Reconciliation Statement

DX Co.
Bank Reconciliation
May 31, Current Year

Cash balance per bank statement	$19,513.90
Add:	
Deposit in transit (B)	$3,915.20
	$23,429.10
Less:	
Outstanding checks (A)	$7,070.10
Bank error (E) ($42 - $24)	18.00
Total deductions	$7,088.10
Adjusted cash balance	$16,341.00
Cash balance per books	$13,215.80
Add:	
Note collected by bank (C) ($3,000 + $120)	$3,120.00
Error in recording check (D) ($96 - $69)	27.00
	$16,362.80
Less:	
Bank service charges (F)	$21.80
Adjusted cash balance	$16,341.00

Explanation:

- Bank side:
  - Add deposit in transit ($3,915.20) because it was deposited but not yet recorded by the bank.
  - Subtract outstanding checks ($7,070.10) because they were issued but not yet cleared.
  - Subtract bank error ($18) because the bank incorrectly charged $24 instead of $42, understating the deduction.
- Books side:
  - Add note collection ($3,120) because the bank collected it, increasing the company's cash.
  - Add company error ($27) because the company overstated the check amount ($96 instead of $69), requiring an adjustment to increase cash.
  - Subtract bank service charges ($21.80) because they were deducted by the bank but not yet recorded in the books.
- The adjusted cash balance ($16,341.00) is the same for both, confirming the reconciliation is correct.

---

ii. Record the necessary entries in general journal form.

Journal Entries

We record adjustments based on the books side of the reconciliation to update the Cash account and other accounts affected by the reconciling items (C, D, F). Items A, B, and E do not require journal entries because:

- Outstanding checks and deposit in transit are timing differences that will resolve when checks clear or deposits are recorded by the bank.
- Bank error will be corrected by the bank in the next period.

Journal Entry for C: Note collected by bank ($3,000 face + $120 interest):

```
Cash                                3,120
     Notes Receivable                   3,000
     Interest Revenue                     120
```

Journal Entry for D: Error in recording check ($96 recorded, actual $69):

- The company overstated the check, reducing Cash too much. Correct by increasing Cash and reducing Accounts Payable (since the check was for a purchase on account).

```
Cash                                  27
     Accounts Payable                     27
```

Journal Entry for F: Bank service charges:

```
Bank Service Charges                  21.80
```

```
     Cash                                        21.80
```

Combined Journal Entries:

```
May 31:
Cash                                  3,120.00
     Notes Receivable                     3,000.00
     Interest Revenue                       120.00
(To record collection of note and interest by bank)

Cash                                     27.00
     Accounts Payable                        27.00
(To correct error in recording check to YX Co.)

Accounts Payable                         18
     Cash                                  18
(To correct accounts payable )

Bank Service Charges                     21.80
     Cash                                    21.80
(To record bank service charges for May)
```

iii. What is the amount of cash in bank that should appear on the balance sheet as of May 31?

The cash balance to be reported on the balance sheet as of May 31 is the adjusted cash balance from the bank reconciliation, which is $16,341.00. This reflects the true cash available after accounting for all reconciling items.

3. Prepare journal entries for each of the following:
   a. Issued a check to establish a petty cash fund of $500.
   b. The amount of cash in the petty cash fund is $120. Issued a check to replenish the fund, based on the following summary of petty cash receipts: office supplies, $300 and miscellaneous administrative expense, $75. Record any missing funds in the cash short and over account.

   A Issued a check to establish a petty cash fund of $500.

   - This transfers cash from the checking account to create a petty cash fund, recorded as an asset.

   Journal Entry:

```
Petty Cash                      500
     Cash                           500
(To establish a petty cash fund)
```

   b. Replenish the petty cash fund when the cash balance is $120.

- Given:
    - Original fund: $500
    - Current cash balance: $120
    - Receipts: Office Supplies ($300), Miscellaneous Administrative Expense ($75)
    - Total disbursements: $300 + $75 = $375
    - Expected cash: $500 - $375 = $125
    - Actual cash: $120
    - Cash shortfall: $125 - $120 = $5 (recorded in Cash Short and Over account)
- Replenishment involves issuing a check to restore the fund to $500, accounting for expenses and the shortfall.

Journal Entry:

```
Office Supplies                300
Miscellaneous Expense           75
Cash Short and Over              5
     Cash                        380
(To replenish petty cash fund: $500 - $120 = $380)
```

4. On February 20, 2002, XY Co. discounted at Abyssinia Bank a note receivable at 16% arising from sale of merchandise. The note was for Br-100,000, 120 days dated on Dec. 20, 2001, 15%. Assume the fiscal period of X Co. ends on Dec. 31.

Instruction:

A. Calculate a bank discount and proceed.

A. Calculate the Bank Discount and Proceeds

Given:

- Note receivable: Br 100,000
- Date of note: December 20, 2001
- Term: 120 days
- Interest rate on note: 15% per year
- Discounted on: February 20, 2002
- Bank discount rate: 16%
- Fiscal period ends: December 31

Step 1: Calculate the maturity date:

- Note issued: December 20, 2001
- Term: 120 days
- Days breakdown:
    - Dec 20–31, 2001: 11 days
    - January 2002: 31 days
    - February 2002: 28 days
    - March 2002: 31 days

- April 1–19, 2002: 19 days
- Total: 11 + 31 + 28 + 31 + 19 = 120days
- **Maturity date: April 19, 2002 (120th day)**

Step 2: Calculate the maturity value:

- Face value: Br 100,000
- Interest rate: 15%
- Time: 120/360 = 1/3 year (using a 360-day banking year)
- **Interest = 100,000 × 0.15 × 1/3 = Br 5,000**
- **Maturity value = 100,000 + 5,000 = Br 105,000**

Step 3: Calculate the bank discount:

- Discounting date: February 20, 2002
- Days to maturity (Feb 20 to Apr 19):
  - Feb 20–28: 8 days
  - March: 31 days
  - April 1–19: 19 days
  - Total: 8 + 31 + 19 = 58 days
- Bank discount rate: 16%
- **Bank discount = 105,000 × 0.16 × 58/360 = Br 2,706.67 (rounded)**
- **Proceeds = 105,000 - 2,706.67 = Br 102,293.33**

Step 4: Determine interest earned and gain/loss:

- Interest accrued from Dec 20, 2001, to Feb 20, 2002 (62 days):
  - Dec 20–31: 11 days
  - Jan: 31 days
  - Feb 1–20: 20 days
  - Total: 11 + 31 + 20 = 62 days
- **Interest = 100,000 × 0.15 × 62/360 = Br 2,583.33**
- **Book value on Feb 20, 2002 = 100,000 + 2,583.33 = Br 102,583.33**
- Proceeds = Br 102,293.33
- Difference = 102,293.33 - 102,583.33 = Br -290 (loss)
- Interest Expense= -290Br

B. Prepare a necessary journal entry.

Journal Entry

XY Co. receives Br 102,293.33, removes the note and accrued interest receivable, and recognizes a loss of Br 290.

Journal Entry:

Feb 20, 2002:		
Cash	102,293.33	

```
Interest Expense                      290.00
     Notes Receivable                      100,000.00
     Interest Receivable                     2,583.33
(To record discounting of 120-day, 15% note receivable at 16% on Feb 20, 2002)
```

5. Assume that Walia Company issued a promissory note to Idget Company at a term of 90days, 8% note for birr 20,000 dated on February 20.

   Compute:

   A. Maturity date
   B. Interest
   C. Maturity value

Given:

- Principal (face value): Br 20,000
- Interest rate: 8% per year
- Term: 90 days
- Date of note: February 20, 2002 (since no year is specified, I'll assume the same year as previous questions for consistency)

A. Compute the Maturity Date

- Note issued: February 20, 2002
- Term: 90 days
- Calculate the days remaining in each month:
  - February 20–28, 2002: 8 days (2002 is not a leap year)
  - March 2002: 31 days
  - April 2002: 30 days
  - May 1–21, 2002: 21 days
  - Total: 8 + 31 + 30 + 21 = 90 days
- Maturity date: May 21, 2002

B. Compute the Interest

- Formula: Interest = Principal × Rate × Time
- Principal: Br 20,000

- Rate: 8% = 0.08
- Time: 90 days / 360 days (using the banking convention of a 360-day year)
- Time = 90/360 = 1/4 year
- Interest = 20,000 × 0.08 × 1/4 = Br 400

C. Compute the Maturity Value

- Maturity value = Principal + Interest
- Maturity value = 20,000 + 400 = Br 20,400

Summary

- A. Maturity Date: May 20, 2002
- B. Interest: Br 400
- C. Maturity Value: Br 20,400